

ESG: for the company or for the world?

By Agnes Wiborg, Chief ESG Officer

After having watched the YouTube video 'Who killed the ESG party? | FT Film' from Financial Times (2024), it became evident that there are several different interpretations of what ESG is. In this essay, I will explain three of them and use companies from the SMIF portfolio (the Walt Disney Company, Salesforce and EasyJet) to explain how the different interpretations are used in the real world. I

will also critically analyse the shortcomings and highlight different spokespeople's ideas. The essay will analyse ESG from a business perspective so the interpretations of ESG might be critiqued differently by those coming from an environmental background.



ESG: a way to “help the world”

A specific speech pattern can be seen when watching the Financial Times Film.

The pattern that can also be found in other sources. Summarised, it consists of how people begin speaking about how ESG can be financially beneficial for the company or investment firm. However, afterwards they add a sentence or a simple phrase about how it is helping the environment. One example from the video was when the CEO of the Norwegian Oil Fund, Nicolai Tangen, talked about what ESG means for the fund. First, he talked about how climate risk is a financial risk, but then he continued “If you have a long-term view and you really care about both the climate and the financial returns, you have to care about these things”. Here by mentioning “the climate”, his incentive becomes less clear, and he creates a moral narrative which can create dishonest conversations with stakeholders.

In the 2023 Sustainability and Social Impact Report from the Walt Disney Company, it is written “Disney endeavors to be a force for good, bringing positive, meaningful, and measurable impact to communities around the world”. This moral narrative can weaken governance accountability in several ways. For instance, underperformance in certain segments can be framed as necessary investments by ideological reasoning. Further on this can make it difficult for stakeholders to scrutinise it as inefficient capital allocation. In addition, investments by Disney in, for example, inclusion initiatives may strengthen Disney’s brand narrative, but without clear disclosure on financial impact, shareholders cannot assess the generated risk-adjusted returns. It is therefore clear that the moral framing can blur the line between sustainability strategy and corporate performance.

Thinking that ESG ratings show whether a company is doing good for the world can pose challenges. In 2023, Sage, ICC and PwC UK did a survey on over 16,000 small-to-medium-sized companies (SMEs) globally. The findings showed that while 83% said that they prioritised sustainability in their company, only 8% reported on their impact. Being too expensive and the reporting landscape being too complex were the two biggest factors hindering SMEs to report on their sustainability. If the hinders are removed then the companies can show their sustainability metrics, giving them more access to capital. The ways the SMEs would get more access to capital is “increased access to finance from banks that include sustainability impact as part of their assessment; a more positive employer brand, allowing them to hire high-quality talent; and the ability to compete in contract processes which require sustainability information, winning them new customers.”. The findings from the survey are important to SMIF as they imply that some SMEs might end up being wrongfully disregarded based on ESG ratings due to the companies’ inability to showcase their sustainable actions and plans.

On the other side is Julia Binder, Director of IMD’s Center for Sustainable and Inclusive Business, who discussed the importance of distinguishing between ESG and sustainability: ‘The ratings and indices used by investors to identify ESG stocks are not designed to measure a company’s positive impact on the Earth and society. Instead, they assess the potential impact the world has on a company’s value and its shareholders’. This leads to the next way of thinking of ESG.

ESG: real risk mitigation

Milton Friedman's take in the Friedman Doctrine simply assumes that the corporate executive making choices for the general good hurts the company itself. However, there are those that argue that it is important for the financials of the company to take ESG into consideration. To explain this interpretation of ESG, one can look at Salesforce. Salesforce is an American company that was created in 1999 which helps organisations of any size grow customer relationships with autonomous and trusted agents, unified data, AI powered analytics and best in class CRM apps. One of Salesforce's material ESG issues from the SASB materiality finder is 'Customer Privacy'. This means that issues related to 'Customer Privacy' are impacting or could impact the financials of Salesforce. In 2024 Salesforce had issues with Customer Privacy as the company was (with Oracle) accused by The Privacy Collective (TPC) of engaging in unlawful collection and use of personal data. This led to a Class Action Lawsuit in Amsterdam which is still ongoing.

The ways in which this lawsuit and related issues could materialise were reported qualitatively in the 2024 annual report:

- Compliance cost: "In addition, a shift in consumers' data privacy expectations or other social, economic or political developments could impact the regulatory enforcement of privacy regulations, which could require our cooperation and increase the cost of compliance with the imposed regulations."
- Reputation: "Although we believe we have a strong defense for these claims, these or similar future claims could cause reputational harm to our brand or result in liability. "
- Limiting number of customers: "If we are unable to maintain these certifications [voluntary certifications established by third parties] or meet these standards [set by third parties], it could adversely affect our ability to provide our solutions to certain customers and could harm our business."

Interpreting ESG as a real risk mitigation strategy to help the company financially, puts the CEOs incentives on focus. In 2025, London Business School published a video where the host Sergei Guriev, Professor of Economics and Dean of London Business School, talked about how CEOs tend to prioritize shareholders' opinions over other stakeholders because of the power they hold. This is a rephrased (to avoid filler words etc.) version: "Today in the US, more CEOs are standing up and saying that their fiduciary duty to the shareholders is to maximise shareholder value. The CEOs are now ashamed to pronounce that this is the main incentive. Unless we address this issue of convincing the CEOs that long-term shareholder value is aligned with the ESG agenda, reputational and regulatory challenges are there. Shareholders will be the primary audience simply because these are the people who pay you and hire and fire you. In that sense, incentives are not going to go away, and the question is how we can align incentives of businesses with the ESG agenda, if you want to promote an ESG agenda"

Salesforce could have to pay fines up to €20 million or 4% of annual global revenue in fines due to breaches in GDPR regulations. If they provided even more data on how ESG risks can materialise, shareholder concern would rise further. Hence, following the advice of Sergei Guriev, the company itself would be indentivised to make changes in areas such as 'Customer Privacy'.

ESG: to raise funds

It is often difficult to assess the stakeholder importance for ESG issues. But if we regress and ask the simple question of "Why do you invest your money?", the answer is to make it grow. This contrasts to the first interpretation discussed, where the incentive of ESG is to drive changes in areas such as sustainability. Companies have realised that they can benefit from ESG to make their company value grow, reaching the investor's goal and hence also fulfilling the fiduciary duty of the executives. ESG can help companies with raising funds in at least these two ways; (a) communication with stakeholders and (b) sustainability linked loans.



(a) Carolina Pinto, GlobalData thematic intelligence analyst, advised: “When a social value is intrinsically linked to a company’s product offerings, it is acceptable for it to use social activism in its marketing...”. However, it can still get negative feedback such as when EasyJet’s “Destination: zero emissions” campaign backlashed in 2024. Badvertising and Adfree Cities submitted a complaint to CMA saying that EasyJet’s campaigns were misleading as they didn’t see any real plans to reach the targets.

(b) In 2023, EasyJet signed a \$1.75bn five-year Sustainability Linked Loan (SLL) with a temporary group of banks. The loan being a SLL means that there’s a sustainability key performance indicator (KPI) linked to a reduction in carbon emission intensity. This KPI aligns with EasyJet’s SBTi already validated target.

EasyJet CEO, Kenton Jarvis, said about this: “This new facility extends EasyJet’s maturity profile, whilst maintaining our high liquidity position. The group’s net financing costs will significantly reduce over the coming years with over one billion pounds of debt retired this financial year. This facility strengthens our balance sheets, supports our investment grade credit ratings and further shows our commitment to our SBTi-aligned sustainability targets”.

Conclusion

After having discussed several spokespeople's thoughts and shown three company examples, I have come to conclude that interpreting ESG as being 'for the world' poses several challenges. The moral narrative that it creates can confuse stakeholders and make it more difficult to hold companies accountable.

If the focus instead is on increasing the transparency on ESG related data and how it can materialise, companies such as Salesforce might benefit financially from implementing ESG strategies. This also ties in with Sergei Guriev's take. Following an increased transparency by companies, shareholders can assess how ESG can affect the share price and hence affect the CEOs. By companies interpreting ESG as a way to increase share prices, they can also fulfill their fiduciary duty of maximising shareholder profit.

However, it is clear throughout this essay that it comes from a business standpoint and people coming from an environmentalist background might have critiques against the three interpretations that have not been mentioned.

That said, focusing on how ESG can help companies could increase understanding from stakeholders and open more business opportunities.

Glossary:

SBTi: The Science Based Targets initiative

CMA: UK Competition and Markets Authority

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